2600 N Clark Development Investment Memo

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Lincoln Park, Chicago · 48 units + ground-floor retail · Independent case study, underwritten as if we were the equity investor at the start

Recommendation: pass as underwritten

I would not commit equity to 2600 N Clark at my underwritten budget. The project builds to a 5.9% yield on cost against a 5.25% exit cap rate: a 67 bps development spread, a 12.6% profit margin on cost and a 10.0% levered IRR. That is too thin a cushion for construction and lease-up risk; a half-point rise in the exit cap erases about 75% of the profit.

The deal becomes investable if hard costs come in about 7% lower (near $257 per square foot instead of $275) or new-build rents command a 20-25% premium over the neighborhood instead of 15%. Absent evidence for either, I would pass.

The project

A real mixed-use building under construction in Lincoln Park: 48 apartments (14 studios, 24 one-beds, 10 two-beds, including 10 affordable units at restricted rents), about 11,000 SF of ground-floor retail and 10 parking spaces, roughly 53,750 gross SF in total. I sourced the building facts from city permit coverage and set market rents from Lincoln Park listings, with a 15% premium for new construction.

The plan is about 18 months of construction, lease-up over Years 1-3 (25%, 75%, then 100% occupied), and a sale at the end of Year 3 on Year-4 NOI. Stabilized NOI is about $1.41M in Year 3.

Budget and financing

Uses	$M	Sources	$M
Land	4.50	Construction loan (60% LTC)	13.79

Uses	$M	Sources	$M
Hard costs ($275/SF)	14.78	Equity	9.97
Soft costs (20% of hard)	2.96		
Contingency (5% of hard)	0.74		
Construction interest (capitalized)	0.78		
Total project cost	**23.75**	**Total**	**23.75**

The construction loan is interest-only at 7.5%, drawn about 50% on average over 18 months; that interest is added to the budget rather than paid from cash. The city permit lists a $10M reported cost (about $186/SF), but permit values usually understate the real budget, so I use $275/SF. Hard costs are the single biggest uncertainty in this memo.

Feasibility: the project misses every typical hurdle

Test	2600 N Clark	Typical ground-up target
Yield on cost (Year-3 NOI / total cost)	5.9%	n/a
Development spread (yield on cost minus exit cap)	67 bps	100-150+ bps
Profit margin on cost	12.6% ($3.0M)	15-20%+
Levered IRR	10.0%	15-20%+
Equity multiple	1.34x	n/a

Targets vary by firm and market; these are common ranges, not fixed rules. A developer takes construction, lease-up and market risk that a buyer of a finished building does not, so it needs a wider spread than a stabilized acquisition. Here a developer would earn only about 65 bps more than simply buying a finished building at a 5.25% cap.

What it would take to work

Each line changes one assumption from the base case:

Scenario	Yield on cost	Profit	Margin on cost	Levered IRR
Base case ($275/SF hard, 15% rent premium, 5.25% exit)	5.9%	$3.0M	12.6%	10.0%
Hard costs $250/SF	6.4%	$4.8M	21.6%	16.0%
Hard costs $225/SF	6.9%	$6.5M	32.0%	22.3%
New-build rent premium 20%	6.2%	$4.2M	17.6%	13.5%
New-build rent premium 25%	6.4%	$5.4M	22.6%	16.8%
Exit cap 5.0%	5.9%	$4.4M	n/a	13.6%
Exit cap 5.5%	5.9%	$1.8M	n/a	6.6%
Exit cap 5.75%	5.9%	$0.7M	n/a	3.2%

Cost is the most powerful lever: every $25/SF of hard-cost savings adds about $1.7M of profit. A spread near 100 bps needs hard costs around $257/SF. If the real budget is close to the permit's reported $186/SF, the project is very profitable (about $9.2M), which may explain why the developer is building it.

Risks and diligence

- **Construction costs:** get a contractor's guaranteed maximum price; my $275/SF is an estimate, and contingency is only 5%.
- **Exit cap rate:** with a 67 bps spread, any rise in cap rates by 2029 wipes out most of the profit.
- **Lease-up speed:** slower leasing doesn't change the profit much but delays it, lowering the IRR (about 7.9% in a slow case).
- **Rents:** the 15% new-build premium over Lincoln Park comps must hold; affordable units are capped.
- **Retail:** 11,000 SF of ground-floor retail at $35/SF assumes it leases; empty retail drags NOI.
- **Rates:** construction interest at 7.5% floats with the market.

Sources

- Building facts and $10M permit cost: Chicago YIMBY coverage of 2600 N Clark (Jun 2025, Mar 2026, May 2026)
- Market rents: Apartments.com Lincoln Park guide (Nov 2026)
- Development model: 2600_N_Clark_Development_Model.xlsx